BE

[2.0]

Turning Your Business into an Enduring Great Company

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Chapter 4

VISION

The basic question is, what vision do you aspire to?
ABRAHAM MASLOW

THE FUNCTION OF LEADERSHIP—THE number one responsibility of a leader—is to catalyze a clear and shared vision for the company and to secure commitment to and vigorous pursuit of that vision. As we discussed earlier, this is a universal requirement of leadership, and no matter what your style, you must perform this function.

Why is vision so important? What exactly is vision? And how do you go about setting one?

Answering these questions is the topic of this chapter. We hope to inspire you to put "catalyze a shared vision" as your number one priority. We will then present the "Collins-Porras Vision Framework"—a useful, concrete framework that removes the fuzziness that surrounds the topic yet, at the same time, preserves the magic or spark that's an essential quality of vision. Throughout this chapter, we will provide specific pointers on the process of catalyzing a shared vision.

Before launching into the benefits of vision, we'd like to provide you a quick snapshot of the overall structure that we will be using throughout this chapter and the rest of the book.

Figure 4-1 shows the basic flow: you begin with vision, move to strategy, and then to tactics. It also shows that vision is composed of three basic parts: core values and beliefs, purpose, and mission.

Diagram of Vision, Strategy, Tactics

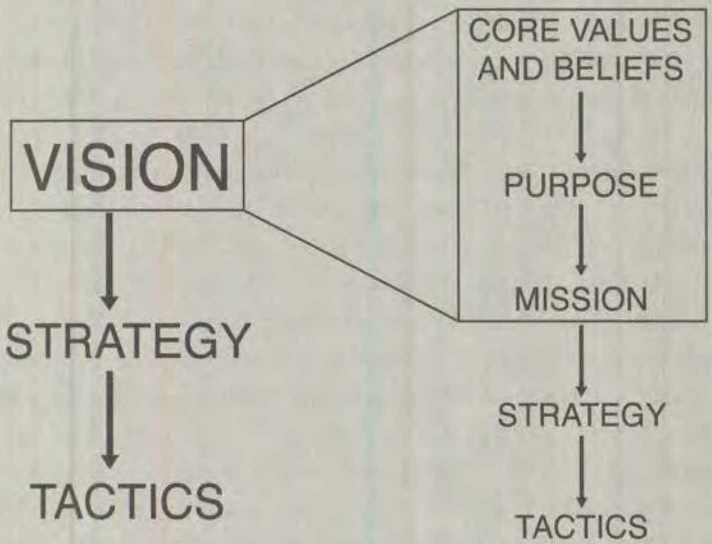


Figure 4-1

We will explain each of these parts later in the chapter, and give many examples. But first we will explain why you should take on the challenging task of setting a vision.

Vision Is Essential to Greatness

Consider any great organization—one that has lasted over the years—and I think you will find that it owes its resiliency to the power of what we call beliefs, and the appeal these beliefs have for its people . . . The basic philosophy, spirit, and drive of an organization have far more to do with its achievements than resources, structure, innovation, and timing.

THOMAS J. WATSON, JR.
FORMER CEO, IBM CORPORATION

Instilling your company with a lasting corporate vision is a challenging task. As one manager told us, "By asking me to do this you're setting the bar at a very high level." And indeed we are. It is *difficult*, we do not deny.

But vision is essential to attaining corporate greatness. Notice that in the above quote Tom Watson didn't say, "Consider any organization . . . "; he said, "Consider any *great* organization . . ."

Vision isn't necessary to make money; you can certainly create a profitable business without it. There are plenty of people who have made a lot of money, yet had no compelling vision. But if you want to do *more* than just make a lot of money—if you want to build an enduring, great company—then you need a vision.

If you examine closely the historical evolution of great companies—companies like IBM, L.L.Bean, Hewlett-Packard, Merck, Herman Miller, 3M, McKinsey & Company, Sony, McDonald's, NIKE, Walmart, Disney, Marriott, Procter & Gamble, Boeing, Johnson & Johnson, Motorola, Federal Express, Russell Reynolds Associates, General Electric, PepsiCo, Pioneer Hi-Bred, among others—you will find that, at some point, *while the company was still relatively small*, key leaders instilled a compelling vision into the organization.

In some cases, like Federal Express, the vision was put in at the founding of the company. In other cases, the company was founded by entrepreneurs to fill a specific need (such as to work for themselves or to bring a specific product to market) and they didn't articulate a broader vision until a few years down the road. Minnesota Mining and Manufacturing Company, for example, was founded simply to mine corundum (a hard substance similar to emeralds) from a small lake in Minnesota. It was only after that initial venture failed and the company groped around for a few years that CEO William McKnight developed a broad, clear vision of 3M Company, and its potential impact on the world.

But, in every case, whether at the founding or a few years down the road, key leaders in great companies catalyze and articulate a shared vision for the entire organization.

Four Great Examples

IBM

Thomas J. Watson, Jr., CEO at IBM from 1956 to 1971, felt that the vision of IBM was the single most important ingredient in IBM's rise from a small company on the brink of bankruptcy in 1914 through the perilous phases of growth to its position as one of the most widely admired and consistently successful corporations in history.

Watson felt this so strongly that he published an entire book on the subject: *A Business and Its Beliefs—The Ideas That Helped Build IBM*, wherein he writes:

> Any organization, in order to survive and achieve success, must have a sound set of beliefs on which it premises all its policies and actions. I believe the most important single factor in corporate success is faithful adherence to those beliefs. Finally, the organization must be prepared to change everything about itself *except* those beliefs.

Watson's father, Tom Watson, Sr., primary architect of IBM, emphasized the importance of vision to IBM. In 1936, he wrote in a letter to his son that the number one asset a leader should develop is "vision."

(You'll notice that terms mission, vision, purpose, values, objectives, beliefs, culture, and philosophy seem to be used interchangeably and somewhat loosely by different authors and managers. Some make extensive use of the word mission. Others use the term vision and still others use purpose, goals, overall aim, objectives, or culture. For the moment, don't get distracted by terminology and spend a lot of time trying to figure out if vision is different from mission is different from values, etc. We will unravel and clarify these with the Collins-Porras Vision Framework presented later in the chapter.)

JOHNSON & JOHNSON

After Robert W. Johnson, Jr. took over from his father as CEO of Johnson & Johnson, he put a great deal of thought into drafting a clear statement of company beliefs. Known thereafter as the "Johnson & Johnson Credo," it became the backdrop for all future planning and decision making in the company.

MCKINSEY & COMPANY

Marvin Bower, chief architect of McKinsey & Company, the world's most successful management consulting firm, placed a great deal of emphasis on the development and communication of a shared vision from the early days of the firm.

In 1937, when McKinsey was a small firm with only two offices (by 1990 it had 48 offices worldwide), Bower dedicated tremendous amounts of time to codify and articulate the McKinsey vision. At the 1953 Annual Firm Conference, Bower unveiled a "Diagram of the Firm's Principal Personality Characteristics," which was used for years as a blueprint for the "McKinsey Approach." Bower later wrote a book on McKinsey, which emphasized McKinsey's vision. The words "our philosophy," "our approach," "we had to think in visionary terms," "we believe," and "our principles" appear extensively throughout the book, and in the chapter titles.

HEWLETT-PACKARD

During the mid-1950s, when the Hewlett-Packard company was only 15 years old and still relatively small, Bill Hewlett and Dave Packard took their management team off-site to the wine country in Sonoma, California, to codify HP's principles and permanent objectives. Referred to thereafter as the "Sonoma Conferences," these meetings solidified the underlying precepts of HP.

You might be thinking, "But my company is small; I'm not sure all this vision talk applies to us. We're not HP, IBM, J&J, or McKinsey. We're just trying to make a go of it."

Good point. But remember, each of the above companies once was a small, struggling enterprise, and, *in every case*, the vision was laid in place *when the company was still small.* It's not that these companies are big and therefore have the luxury of vision; it's that vision helped them become great in the first place. Vision precedes greatness, not vice versa.

A caveat: we don't mean to imply that vision is necessary only if you want to become big. We understand that you might want to remain a small company. If that's what you want, then you still need a vision. Why? Because if you're good, there will be opportunities to grow. The only way to remain small (if that's what you want) is to have a clear vision about what you want the company to be in the first place.

For example, we worked with the owner of a small company that had a serious crisis due to the lack of a clear vision. She tells the story:

> We were nearing the completion of the exhausting development phase of a new product with tremendous market potential. We were then a ten-person company, and this new product

would catapult us to at least three or four times that size. Sounds great, huh?

It was the worst experience of my life! As the product neared completion, we began to run around like chickens with our heads cut off getting ready for the influx of orders. I kept having this feeling in my stomach that something wasn't right; that I really didn't want this.

But we just kept pushing ahead, moving inexorably towards a product launch that would forever change the character of the company. No sane person would turn away from such a great opportunity—growth, profits, wild success, admiration of others, right? Nonetheless, I kept feeling worse and worse, until I reached the end of my rope, completely burned out.

It occurred to me: what we were doing was absolutely contrary to what I wanted for myself, my family, and the company. The problem was that I had never articulated what I wanted our company to be, and we had never talked about it among ourselves. We just kept moving down the day-to-day path of one opportunity after another. Social norms dictated that to grow and become a big overnight success is what we should do. And that's what was driving us. But it wasn't *our* vision for the company, and it wasn't what we wanted out of life. When the stress level finally reached an unbearable peak, we cut the product, and were much happier.

Had we been clear in our minds that our vision was to remain small—a profitable and happy *little* company with a nice lifestyle—we wouldn't have made the decision to do the product, and we never would have gotten ourselves into that horrible mess in the first place.

The Benefits of Vision

Let's now turn our attention to the four primary benefits of corporate vision:

1. Vision forms the basis of extraordinary human effort.
2. Vision provides a context for strategic and tactical decisions.
3. Shared vision creates cohesion, teamwork, and community.
4. Vision lays the groundwork for the company to evolve past dependence on a few key individuals.

A Basis for Extraordinary Human Effort

Human beings respond to values, ideals, dreams, and exhilarating challenges. It's our nature. We will go to phenomenal lengths in an effort to live up to the ideals of our organization, peer group, or society if we share those ideals and consider them worthy. Managers who build their organizations based on a set of worthy values, sound beliefs, and a compelling mission are laying the groundwork for extraordinary human effort.

Most people want to do more than bring home a paycheck. They want work they can believe in and that has meaning. This may not be true of all people, but it's certainly true of the people most likely to be solid contributors to a great company. Tap into the basic human desire for meaningful work and the traditional management problem of "how to motivate employees" largely evaporates. People will be self-motivated when doing work they believe in.

Motivation depends greatly on the extent to which a person can frame her work within a broader overall purpose. This even applies to routine jobs. During a visit to Giro Sport Design, an assembly worker proudly pointed to a bulletin board. Posted there were letters describing serious bicycle crashes, and how Giro helmets saved people from serious brain injury. "Fortunately," wrote one person, "the helmet shattered, instead of my head. Thank you for being in business."

"That's what we do," said the assembly worker. "We're not just making helmets. We're making people's lives better."

A guiding overall aim, when clear and shared, is so powerful that it can even form the backbone of motivation for an entire country. Writing about Israel in 1967, Barbara Tuchman remarked:

> With all its problems, Israel has one commanding advantage: a sense of purpose. Israelis may not have affluence, or television, or enough water, or the quiet life. But they have what affluence tends to smother: a motive.

Creating this motive is your task as a leader. You do this by creating the vision—by creating what Tuchman calls "the exhilarating task" that bonds a group together.

Think of how the British people rallied in a supreme effort to defeat Hitler in World War II. Think of how NASA overcame the odds against putting a man on the moon by the end of the 1960s. Think of how Boeing employees dedicated themselves to the "impossible" task of making the revolutionary 747 Jumbo Jet a commercial reality. Think of how engineers at Apple worked 80-hour weeks to bring out a computer that would change the world.

A Context for Strategic and Tactical Decisions

Corporate vision provides a context within which people at all levels can make decisions. *The importance of this cannot be overemphasized.*

A shared vision is like having a compass and distant destination in the mountains. If you give a group of people a compass and destination point and then turn them loose in the mountains to reach that destination, they will probably figure out a way to get there.

They may encounter obstacles, detours, bad turns, and side canyons along the way. However, with the general directions of the compass, a clear end-goal, and the belief that they are working towards a worthy destination, they will probably reach the target.

In contrast, companies without a shared overall aim have no context, and their people wander aimlessly in the side canyons and take detours to nowhere. Such companies resemble overworked fire departments, with people responding to crises and revenue opportunities as they emerge, rather than proactively making decisions within a coherent conception of what the organization is ultimately trying to do.

CASE EXAMPLE: HOW BOB MILLER SAVED MIPS COMPUTER

MIPS Computer was founded in the mid-1980s to capitalize on significant advances in computer technology. It had over $10 million of venture capital financing, state-of-the-art technology, and the promise of growing market demand for powerful computers. Yet, four years after its founding, it was in turmoil and on the brink of bankruptcy. Why?

MIPS had no clear idea of what precisely it was trying to do. It had no clear idea of what it wanted to become. Instead, the sales department blindly pursued every revenue opportunity, without asking the question: what revenue opportunities make the most sense within the context of what we are trying to achieve?

This, in turn, drove R&D to develop (at great cost) a plethora of unrelated products, without asking the question: how do these products help us attain our vision? MIPS leaders pursued joint ventures that severely limited the opportunity to distribute overseas, without ever asking the question: how does the overseas market fit with our vision?

Of course, they *couldn't* ask that question, as there was no clear vision. There was no focal point of united effort, and the organization gradually disintegrated into factions. Each faction blamed others for the perilous position of the organization. Morale declined. Good people left for better opportunities. Investors and customers lost confidence and, hence, cash flow went negative.

It took the leadership of a new CEO, Bob Miller, to save the company. Commenting on how he successfully pulled the company out of its malaise to a prominent position in the RISC Technology industry, Miller commented:

> The most important question is: what do you want to be five to ten years from now? The company had never asked or clearly answered that question. That may seem simplistic, but posing that question was the basic solution. Only then could we make good strategic decisions.

Miller's comment leads to a very important point: Strategy is impossible without first setting a vision.

There are thousands of pages in management literature written about strategy. Strategic Management is a required course at most business schools. Large consulting firms build client lists by selling "strategy solutions." There is a good reason for this: sound strategy is essential to attaining greatness.

But think for a minute about the word strategy. What does it really mean? Strategy is *how* one intends to go about attaining a desired end. It is the *means* to an end. Thus, it is wholly impossible to have an effective strategy unless you are clear—absolutely crystal clear—about what the end point is. Strategy is a *path* to attaining your vision. Knowing how to get "there" is impossible if you can't articulate what "there" is.

Most companies (we believe that most organizations do indeed lack clarity of vision) let crises, firefights, and tactical decisions drive the company. We refer to this as "tactics-driving strategy." Vision should drive strategy and strategy, in turn, should drive tactics, not the other way around.

This may seem obvious, and you may be wondering why we're harping on it. We agree. It *is* obvious. However, its practice is also extraordinarily rare. We've noticed that in almost every company with significant organizational problems, one of the root difficulties is the lack of a clear vision. Indeed, it always strikes us as incredible how seriously some organizations suffer from this root problem.

Even in situations of national importance, the phenomenon of tactical success but overall failure due to the lack of a clear overall aim can be played out.

CASE EXAMPLE: THE UNITED STATES WAR IN VIETNAM

You know, you never defeated us on the battlefield.

AN AMERICAN COLONEL, HANOI, 1975

That may be so. But it is also irrelevant.

NORTH VIETNAMESE COLONEL IN RESPONSE

In terms of tactics and logistics, according to Harry G. Summers in the book *On Strategy*, the United States Army was successful in Vietnam. Over a million soldiers a year were transported to and from Vietnam, and they were sustained in the field better than any army in history. In tactical engagements, the army had an extraordinary success rate, with enemy forces thrown back with terrible losses in engagement after engagement. Even so, it was North Vietnam that emerged victorious. How could the United States have succeeded so well, yet failed so miserably?

A wide range of authors on the subject all came to a startlingly simple conclusion: the United States didn't know precisely what it was trying to achieve, and it was therefore impossible to have an effective strategy. A 1974 survey of Army generals who had commanded in Vietnam found that almost 70% of them were uncertain of United States objectives.

"This confusion over objectives," Summers concluded, "had a devastating effect on [United States] ability to conduct the war."

"The principals never defined either the mission or the number of troops," wrote David Halberstam, author of *The Best and the Brightest*. "It seems incredible in retrospect, but it's true. Hence, there was never a clear demonstration of what the strategy would be."

Halberstam might have pointed out that without this clarity of aim, it would have been absolutely impossible to even have a strategy in the first place.

Don't get us wrong. We don't mean to imply that tactical excellence (as the United States had in Vietnam) is unimportant. It's essential, but it should be within the context of a clear overall vision. Vision, then strategy, then tactics.

Cohesion, Teamwork, and Community

As coach John Wooden of the UCLA Bruins pointed out, you have to build up each player to be his best as a guard, center, or forward, but it is even more important to develop the individual player's pride and belief in the whole team and its goals. Coaches like Wooden successfully reconcile the two by having very clear shared goals and an underlying set of principles and values that hold the team together.

Without a shared vision, any organization can easily degenerate into factions. Disparate agendas, turf wars, empire building, and petty politics become prevalent; destructive infighting saps people's energies, rather than working for a common aim and towards the strengthening of the entire organization. It becomes impossible to maintain a strong and positive sense of community.

Companies are usually founded with a clear, vibrant sense of purpose. Yet, as companies mature, they often disintegrate into squabbling factions. Institutional self-enhancement and turf wars smother the spark and spirit of the early sense of purpose.

In one company, we interviewed the top ten managers separately and asked: "What's this company all about? What are you trying to become? What are you trying to achieve?" No two people gave the same answer. As one explained: "We really are a collection of ten individuals with personal agendas, ready to charge in the opposite direction from everyone else. No wonder we have problems."

The company erupted into a devastating series of internal battles, complete with secret pacts among key players to gang up on other players. The company was eventually acquired (for a low price) by a large corporation, leaving one of the VPs to comment:

> We had such potential, and we squandered it. Once we lost a sense of unified purpose, we put all our creative energies into fighting among ourselves, rather than winning in the market place. It's sad.

Conversely, we've seen companies on the brink of destruction pull together with common purpose and overcome incredible odds. Ramtek Corporation, for example, had filed for Chapter 11 bankruptcy protection. A new CEO, Jim Swanson, took over the company and resurrected it to new life and steered it out of bankruptcy. (Most companies that file Chapter 11 die on the operating table.)

"Our mission," said Swanson, "was to get out of bankruptcy. It was such a challenging task that unified the team to put forth supreme efforts and beat the odds."

Soon after emerging from bankruptcy, Swanson took his team off-site to set a new mission. "We had a big challenge," he said. "We met it. Now we need a new one or else we'll lose that sense of team spirit."

In Chapter 8, "Innovation," we stress the importance of decentralization and autonomy. The problem, of course, is how to unleash individual creativity and, at the same time, move in a unified direction. Vision is the link. If all people in the company have a guiding star on which to sight (a common vision), they can be dispersed in hundreds of independent little boats, rowing in the same direction.

Evolving Past Dependence on a Few Key Individuals

In the early phases of an organization, a company's vision comes directly from its early leaders; it is very much their personal vision. To become great, however, a company must progress past excessive dependence on one or a few key individuals. The vision must become *shared as a community*, and become *identified primarily with the organization*, rather than with certain individuals running the organization. The vision must actually transcend the founders.

To illustrate this point, we like to use the powerful historical example of the founding and subsequent development of the United States. Instead of creating a country that depended on the continued presence of the then living leaders (Washington, Jefferson, Adams, et al.), the founders put in place a set of basic principles that would guide the country for centuries after their death.

In essence, they codified the vision of the country in the Declaration of Independence and the United States Constitution. They thereby ensured that the future of the United States would come close to living up to their beliefs about how the country should run and, just as important, would not require the continued presence of these individuals.

Those fellows in Philadelphia in 1787 were very smart: by instituting the enduring principles of the Constitution, they created the "glue" that would hold the country together even in the absence of a common enemy or the single "great dictator." Students of history will agree that this is very rare indeed.

[Note: We realize that the United States Constitution is not a perfect document. Our purpose here is not to deify the Constitution per se but rather to illustrate the idea of creating an enduring set of principles than from the presence of specific leaders.]

It's interesting to note that when Tom Watson, Jr. took over IBM from his father in 1956, he had the Constitution in mind when he took the top executives off-site to create the "Williamsburg Plan," as he wrote in *Father, Son & Company*:

> I picked Williamsburg [Virginia] because it is a historical place and this meeting was meant to be a kind of constitutional convention for IBM.

In contrast, there is the example of Duncan Syme and Vermont Castings. Syme had a vision: to make the best wood stoves in the world. He believed in this so much that he would personally stand on the production line to ensure that each stove met his exacting standards. During the 1970s, Vermont Castings became the fastest growing company in the wood stove industry, reaching sales of $29 million and margins as high as 60%.

Then, in the early 1980s, Syme stepped away from daily operations and turned the company over to professional managers (day-to-day management, Syme admitted, was not his strength).

But there was a critical problem: Syme's vision went into retirement with Syme. In his absence, the company lowered quality standards, diluted its traditional focus on wood stoves, reduced customer service, and pulled the company away from its original vision. Sales and profit growth flattened, the company lost its ability to bring out innovative products, and many felt the company had lost its greatness.

Syme returned to Vermont Castings in 1986 and got it back on track, reinstalling his vision and regaining the company's position as the premier woodstove maker.

This time, however, he took an entirely different approach, as he explained in *Inc.* magazine. Instead of relying solely on himself to be the guardian of the "Vermont Castings Way," he began a process of institutionalizing his vision. He wrote a "Statement of Vermont Castings Vision and Creed" and began the long process of ensuring that it was expressed in all operational decisions.

Creating a company with a vision (rather than a company with a single visionary leader on whom everything depends) is difficult for some leaders. They like being the "visionary"—the hero or great leader—on whom everything depends. The truly visionary managers are those who make the vision *property of the entire enterprise* and instill it in such a way that it remains strong and intact well after the leader departs from daily operations.

A Vision Framework

The word vision conjures up all kinds of images. We think of outstanding achievement. We think of deeply held values and beliefs that bond the people in a society together. We think or audacious, exhilarating goals that galvanize people. We think of something eternal—the underlying reasons for an organization's existence. We think of something that reaches inside us and pulls out our best efforts.

And therein lies a problem. Vision has a nice feel. We can agree that it's essential to greatness. But what exactly *is* it?

The Collins-Porras Vision Framework

A number of CEOs have told us that they can't seem to get their hands on what vision is. They've heard lots of terms like mission, purpose, values, strategic intent, but no one has given them a satisfactory way of looking at it that will transcend the morass of words and set a coherent vision for the company.

Out of this frustration, the Collins-Porras Vision Framework was developed. Much of the material in this chapter is based on extensive research at Stanford and the article "Organizational Vision and Visionary Organizations" (*California Management Review*, Fall 1991). We need not go into all of the theoretical underpinnings and background research of the framework here. The essence of it is that a good vision consists of:

1. CORE VALUES AND BELIEFS
2. PURPOSE
3. MISSION

We've found that people quickly grasp the concept of core values and beliefs. However, the difference between purpose and mission often causes confusion.

Collins-Porras Vision Framework

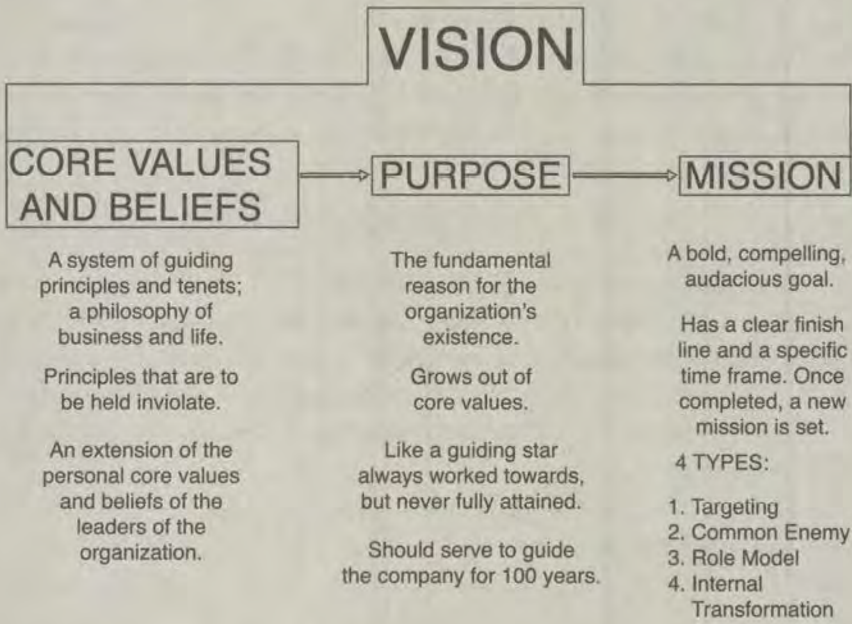


Figure 4-2

To quickly grasp the difference between purpose and mission, think of pursuing a guiding star across a mountain range. Your *purpose* is the guiding star, always out there on the horizon, never attainable, but always pulling you forward. Your *mission*, on the other hand, is the specific mountain you are climbing at any moment. While assaulting that mountain, all your focus and energy goes into that specific ascent. But once you reach the top, you sight again on the guiding star (your purpose) and pick yet another mountain to climb (another mission). And, of course, throughout the entire adventure, you remain true to your core values and beliefs.

With these as models, you can set up and codify your own corporate vision from the following examples.

Vision Component 1: Core Values and Beliefs

Core values and beliefs are where vision begins. Core values and beliefs are like an ether that permeates an organization—its decisions, its policies, its actions—throughout all phases of its evolution. Some companies refer to this as their "guiding philosophy."

Core values and beliefs form a system of fundamental motivating principles and tenets—precepts about what is important in both business and life, how business should be conducted, its view of humanity, its role in society, the way the world works, what is to be held inviolate, and so on. You can think of it as analogous to the "philosophy of life" that an individual might have. Core values and beliefs are analogous to a biological organism's "genetic code"—they are in the background, but always present as a shaping force.

The core values and beliefs come from *inside* you. You, as a leader of the company, imprint your personal values and beliefs about life and business through your daily actions.

And therein lies the crucial aspect of core values and beliefs: they must be an *absolutely authentic* extension of the values and beliefs you hold in your own gut. You don't "set" values. The proper question isn't, "What values and beliefs *should* we have?" but rather "What values and beliefs *do we actually hold in our gut*?"

Ultimately, core values and beliefs get instilled by what you *do*, by specific, concrete actions, not by what you say.

For example, L.L.Bean was built on the core values and beliefs espoused by Leon Leonwood Bean. Bean, who founded the company in 1911, had a deeply held personal philosophy summed up simply as, "Sell good merchandise at a reasonable price, treat your customers like you would your friends, and the business will take care of itself."

Nice sentiment. But the foundation of Bean's strength isn't sentiment; it's the actions that reflect the sincerity of the sentiment. He implemented a 100% guarantee of absolute satisfaction via a no-questions-asked policy. (In one instance, the company refunded the full purchase price of a never-worn shirt purchased 32 years earlier.) He decided Bean would never close, keeping the phone-order lines open 24 hours a day, 365 days per year. He demanded that all products be manufactured to exacting standards, and that customers be charged a fair price.

"But that's not values," you might be thinking. "That's just good business." We agree. It is good business.

But the power of Bean's mystique—the reason for its dedicated employees and its fanatically loyal customer base—is the fact that behind its actions are a set of genuine values. Ol' L.L. sincerely believed in treating customers like friends. He wouldn't have done it any other way!

Some Examples

Examples of core values and beliefs from Herman Miller, Telecare Corporation, Merck, Hewlett-Packard, and Johnson & Johnson follow. We believe we can best illustrate core values and beliefs with specific, detailed examples. Some of these examples come from discussions with managers of those companies, documents, or observations of their actions. We're not suggesting that the specific values and beliefs in our examples should be yours. They are illustrations.

Herman Miller, Inc. | Core Values and Beliefs*

We are a research-driven product company; we are not a market-driven company.

We intend to make a contribution to society, through our products, services, and the way we deliver them.

We are dedicated to quality; quality of product, quality of service, quality of relationships, quality of our communications, quality of our promises.

We believe that we should be, for all who are involved, a place of realized potential.

We cannot live our lives isolated from the needs of society.

We are deeply committed to the Scanlon idea, a plan for practicing participative management, including productivity and profit sharing.

Profit, like breathing, is indispensable. While it is not the sole goal of our lives, in the context of our opportunities, profit must be a result of our contribution.

*Abstracted from *Leadership is an Art* by Herman Miller CEO Max De Pree. Published by Doubleday, 1989.

Telecare Corporation | Core Values and Beliefs

We believe in doing a really outstanding job—we simply don't want to do anything without high quality.

We believe in having a long-term commitment to employee development.

We believe that we have a responsibility to society and that our service is vitally needed by individuals, families, and the community.

We believe that we should help patients rehabilitate to their highest level, regardless of impairment.

We believe in hard work and the enjoyment of it.

We believe in growth both for ourselves as individuals and, over the long term, of the organization.

We do not exist to maximize profit, yet we must nonetheless be an efficient, productive, and profitable business, or else we limit our ability to be of service.

Johnson & Johnson | Credo*

We believe that our first responsibility is to our customers.

Our second responsibility is to our employees.

Our third responsibility is to our management.

Our fourth responsibility is to the communities in which we live. We must be a good citizen.

Our fifth and last responsibility is to our stockholders. Business must make a sound profit. When we operate according to our principles, stockholders should realize a fair return.

We are determined with the help of God's grace to fulfill these obligations to the best of our ability.

*Paraphrased from the Johnson & Johnson Credo, by R. W. Johnson, 1943

Hewlett-Packard | Core Values and Beliefs*

In the words of Dave Packard: "The HP Way says, 'Do unto others as you would have them do unto you.' That's really what it's all about."

In the words of Bill Hewlett: "Fundamentally, the HP Way is respect for the individual. If you give him a chance, the individual will do a lot more than you think he can. So you give him the freedom. Respect for the individual—not just employees, but customers and the works."

*From interviews with Bill Hewlett and Dave Packard

Merck & Company | Core Values and Beliefs*

We value above all our ability to serve the patient.

We are committed to the highest standards of ethics and integrity.

We are responsible to our customers, to our employees, and to the societies we serve . . . Our interactions with all segments of society—customers, suppliers, governments and the general public—must reflect the high standards we profess.

We are committed to research that matches science to the needs of humanity.

Since our future as a company rests squarely on the knowledge, imagination, skills, teamwork, and integrity of our employees, we value these qualities most highly.

We expect profit, but profit from work that benefits humanity.

*Abstracted from Merck & Company "Statement of Corporate Purpose," 1989

The Role of Profit

Notice that the companies in our examples tend to view profit as a necessity, rather than the ultimate goal of the business. What do you make of that? How does this fit with the classic business school doctrine that the purpose of a business—the primary responsibility of its managers—is to maximize shareholder wealth?

To become a great company, we ask you to reject the classic business school doctrine. "Maximize shareholder wealth" is a simple theoretical way of looking at business, but it's not supported by the reality of many great companies. Most great companies are formed to meet the goals and express the values of their founders, which is not always the same as maximizing shareholder wealth. For them, profit is simply a strategic necessity rather than the supreme end point.

This may be a jolting concept, we realize. But we're certainly not the only management writers who have come to the same conclusion. Peter F. Drucker, in his classic text, *Management: Task, Responsibilities, Practices*, reached the same conclusion years ago:

> Business cannot be defined or explained in terms of profit . . . The concept of profit maximization is, in fact, meaningless . . . The first test of any business is *not* the maximization of profit, but the achievement of sufficient profit to cover the risks of economic activity.

We don't deny—and neither do the companies we've worked with and studied—that profit is essential. Actually, it's not profit per se that's essential, but the cash flow that it generates. A business cannot exist without adequate cash flow, and to have an eternal, self-generating source of cash, the company must be profitable.

But profitability and cash flow are not what work is ultimately all about. Profit maximization doesn't provide the type of inspirational aim that people throughout the company are willing to put their full energies towards, to commit a part of their spirit to. We are not saying that profit is bad. Yes, absolutely profit is needed, but profit in and of itself does not provide meaning.

Tom Chappell, founder of Tom's of Maine, a highly profitable company, explained in *Inc.* magazine how the pursuit of numbers alone is an endless treadmill:

> Quantitative goals can't invest purpose in a process that has none. The quest simply for *more* of anything is inherently unsatisfying. If there is no point or joy in what you are doing, or if you lose sight of the point, then just measuring your progress can't make it worthwhile or fun. If I can organize people around a purpose, that is the most powerful form of leadership.

Returning to our example of L.L.Bean, we see that Leon Leonwood Bean was motivated primarily by his love of the outdoors, his passion for his products, and a desire to do business in a way that reflected his values. He grew the business slowly, taking 55 years to reach the size of 160 employees. Profit as a percentage of sales in 1966 was only 2.2%, with significant room for improvement (as demonstrated by the fact that profitability improved dramatically after his grandson took over).

Yes, Bean could have had a bigger company, and a more profitable company. But this was not his purpose. As ol' L.L. used to say in expressing satisfaction with his life, "I'm already eating three meals a day, and couldn't eat a fourth."

But if profit maximization is not necessarily the purpose of the business, then what is? This brings us to the next component of a good vision: purpose.

Vision Component 2: Purpose

Purpose, the second primary part of a good vision, is an outgrowth of your core values and beliefs. Purpose is the fundamental reason for your company's existence—its ultimate reason for being. Your company's purpose dovetails with the sense of personal purpose that you and other members of the company hold deep within you, and thereby provides meaning to work.

A crucial aspect of purpose is that it's always worked towards, but never fully achieved, like chasing the earth's horizon or pursuing a guiding star. The enduring aspect of purpose is well illustrated by Steve Jobs, co-founder of Apple and founder of NeXT:

> I don't feel that I'll ever be done. There are lots of hurdles out there, and there's always a hurdle that I'll never reach in my lifetime. The point is to keep working toward it.

To make a personal analogy, purpose plays the role that a sense of life purpose can provide an individual. A person with a purpose will never be at a loss for meaningful work.

Have you ever noticed that extraordinary people—people like Michelangelo, Churchill, Roosevelt, and Maslow—led productive, fulfilled lives right up to their deaths? They had a sense of personal purpose that could never be completed; they would never be done; they could never submit themselves to the oblivion of unproductive retirement. Purpose in a company plays a similar motivating role.

The Statement of Purpose

You should be able to articulate your company's purpose succinctly, in one or two sentences. This is called a "Statement of Purpose." A statement of purpose should quickly and clearly convey why your company exists, how it fills basic human needs and impacts the world.

A good purpose statement is broad, fundamental, inspirational, and enduring. It should serve to guide your organization for at least 100 years.

STATEMENTS OF PURPOSE

MERCK

We are all in the business of preserving and improving human life. All of our actions must be measured by our success in achieving this.

SCHLAGE LOCK COMPANY

To make the world more secure.

GIRO SPORT DESIGN

Giro exists to make people's lives better through innovative, high quality products.

CELTRIX LABORATORIES

To improve the quality of life through innovative human therapeutics.

LOST ARROW / PATAGONIA

To be a role model and tool for social change.

PIONEER HI-BRED INTERNATIONAL

To create agricultural science products that may very well be critical to sustaining mankind in the future.

TELECARE CORPORATION

To help people with mental impairments realize their full potential.

MCKINSEY & COMPANY

To help leading corporations and governments be more successful.

MARY KAY COSMETICS

To be a company that gives unlimited opportunity to women.

KENNEDY-JENKS

Our purpose is to provide solutions that protect the environment and improve the quality of life.

ADVANCED DECISION SYSTEMS

To enhance decision making power.

STANFORD UNIVERSITY

To enhance and disseminate knowledge that improves human kind.

Discovering Purpose: The "Five Whys"

When articulating purpose, don't make the error of simply writing a specific description of your current product lines or customer segments. "We exist to make computers for knowledge workers" is not a good purpose statement. It's neither compelling nor flexible enough to last for 100 years. It's merely descriptive of what a certain company currently does.

A far better purpose would be:

> Our purpose is to make a contribution by creating great tools for the mind that advance humankind.

Does this mean you should avoid mentioning your products or customers in your purpose statement? Yes and no. Yes, you should avoid sterile, descriptive, bland, dull statements like, "We exist to make X products for Y customers."

On the other hand, and if you are clear that you are only going to do that type of product for the next 100 years, then you might produce a purpose statement like Celtrix Laboratories. Celtrix was tempted to state its purpose as "To develop, manufacture, and sell human therapeutics products." Wisely, however, CEO Bruce Pharriss took it a step further and asked, "*Why* do we want to do this? *Why* is this important? *Why* do we want to dedicate a portion of our lives to this?" In response, Celtrix created the following purpose statement:

> To improve the quality of life through innovative human therapeutics.

This process of asking multiple layers of "why" is powerful for getting at purpose. One very powerful "why" question is: "Why should we continue to exist? What would the world lose if we ceased to exist?" [Note: this may seem like an odd question, but it's very effective for quickly getting to the core of purpose: why the company exists.]

Another powerful approach is to start with the statement, "We make X products" and then ask "why" five times. We call this the "five whys" approach. After five whys, you'll find that you're getting down to the fundamental purpose of the business.

Here's an example of how the five whys lead from products to Patagonia's purpose.

> "We make outdoor clothing."
>
> "Why?"
>
> "Because it's what we know best and what we like to do."
>
> "Why is that important?"
>
> "Because it's the best way to make innovative, high quality products that people will pay well for."
>
> "Why is that important?"
>
> "Because that is how we can continue to be financially successful."
>
> "Why is that important?"
>
> "Because we need the credibility of being a successful business, and the resources to do business in the way we think it ought to be done."
>
> "Why is that important?"
>
> "Because we ultimately exist to be a role model and tool for social change, and the only way we can do that is to be financially viable and successful enough to have the rest of the business community looking to us as a role model."

You Already Have a Purpose

Does every company need a statement of purpose?

In answering this question, let us be clear about one thing: every company *has* a purpose—a reason for being. It's just that most companies have never formally articulated it. Nevertheless, a purpose exists, whether written down or not. Often it's unstated and implicit, but always there, in the woodwork.

For instance, NIKE has existed for years without a formally articulated statement of purpose. Yet, NIKE is driven by a powerful purpose that permeates the entire company: to be a vehicle for competition and victory, both in corporate life and in athletic combat. Although it's not specified in a single-sentence statement, this underlying purpose, which comes from the competitive spirit of founder Phil Knight, is the core driving force of NIKE. (In fact, NIKE's name is that of the Goddess of Victory in Greek mythology.)

Even though you already have a purpose, it's nonetheless a valuable exercise to think through the question: what exactly *is* our purpose? Keeping your answer to a *short and direct* sentence helps to clarify what the business is ultimately all about. And, once clarified, it acts as a test for all decisions: is this action consistent with our purpose?

Purpose Need Not Be Unique

You've undoubtedly noticed that some of the purpose examples we've given could apply to numerous organizations—they don't necessarily differentiate one company from another. That's ok. Purpose is a motivating factor, not a differentiating factor. It's entirely possible for two companies to have the same purpose.

Your mission, on the other hand, will certainly differentiate you from everyone else.

JIM'S VIEW FROM 2020

Purpose Beyond Profits—Don't Confuse Rare with New

"We demand a whole new way of leading to inspire and motivate us," said a twenty-something when I asked a gathering of young people about their views on entrepreneurship and leadership.

"In what way?" I asked.

"For one thing," he said, "we demand that our leaders not only provide direction, but that they also tell us *why*. And it needs to be a 'why' that's much more than maximizing profits for shareholders. We want to be part of something that has a purpose beyond just making money."

I thought about that for a moment, then said, "But the greatest company builders have always done that. You're confusing what's rare with what's new."

When something is rare and exquisite, it can feel "new" when glimpsed for the first time by each successive generation. Greatness is rare, by definition. But the core ingredients of greatness—including the idea of being motivated by a purpose far beyond mere economics—have been exemplified by exceptional company builders for generations. To build an enduring great company *in any era* requires being almost obsessive in pursuit of a purpose. This has always been true. It is still true today. And it will almost certainly remain true forever.

Vision Component 3: Mission

Mission, the third key part of an effective vision, is a clear and compelling overall goal that serves as a focal point of effort.

To quickly grasp the concept of mission, think of the NASA moon mission as articulated by President Kennedy in 1961:

> This nation should dedicate itself to achieving the goal, before this decade is out, of landing a man on the moon and returning him safely to earth.

Unlike purpose, which is never achieved, a mission should be achievable. It translates values and purpose into an energizing, highly focused goal—like the moon mission. It is crisp, clear, bold, exhilarating. It reaches out and grabs people in the gut. It requires little or no explanation; people "get it" right away. Once a mission is fulfilled, you return to purpose to set a new mission.

Remember the analogy of pursuing a guiding star across a mountain range. Your purpose is the guiding star, always out there on the horizon, never attainable, but always pulling you forward. Your mission is the specific mountain you are climbing at any moment. Once you reach the top, you sight again on the guiding star and pick yet another mountain to climb.

A good mission has a finish line—you must be able to know when you've done it, like the moon mission or a mountaintop. A good mission is risky, falling in the gray area where reason says, "This is unreasonable," and intuition says, "But we believe we can do it nonetheless."

We like to use the following phrase to convey the idea of mission:

big, hairy, audacious goal.

Finally—and this is important—a good mission has a *specific time frame* for its achievement.

The moon project was a beautiful example of just such a mission. It was exciting. It was big, hairy, and audacious, yet achievable. It had a clear finish line and it had a time frame.

Reject the Standard Mission Statement

We realize that our definition of mission is different from that used at most companies. Please, reject the standard approach! Most corporate mission statements are terrible. They're all too often nothing more than a description, and a bland one at that, of the operations of the company—a boring stream of words that evokes the response, "True, but who cares?" Managers draft a bunch of words that make sense, but that have all the appeal of snuggling up to a cold, dead fish. They smack of corporate double-speak and are incapable of tapping people's spirit.

Here are some examples of typically ineffective mission statements (from actual companies):

> The Corporation is committed to providing innovative engineering solutions to specialized problems where technology and close attention to customer service can differentiate it from commodity of production or job shop operations.

Just makes you want to go out and conquer the world, doesn't it?

> We provide our customers with retail banking, real estate, finance, and corporate banking products which will meet their credit, investment, security, and liquidity needs.

Now, *that* is really exciting!

> [The company] is in the business of applying micro-electronics and computer technology in two general areas: computer-related hardware; and computer enhancing services, which include computation, information, education, and finance.

This sends a tingle down the spine; we can hardly sit still.

We know we're being a bit sarcastic and harsh. Nevertheless, we've got to get across the point that mission statements like these just don't work. They will not inspire or galvanize your company. As an employee of one of the above companies told us in response to his company's mission statement:

> This is ridiculous. The statement is very long and very boring. By the time I finished reading it, I was totally uninspired and had lost confi-

dence in the people at the top of this organization. I mean, blah—who wants to read this stuff? It's dreary. If they don't show any excitement for what the organization is trying to do, then how can they expect anyone else to get inspired?

Be Compelling and Passionate in Your Mission

Your mission must meet one overriding criterion: it must be *compelling*. The best missions have an element of genuine passion in them.

Don't set a mission like this:

> To make and sell athletic shoes on a worldwide basis.

Set a mission like this:

Crush Reebok.

Don't set a mission like this:

> To make high-end reduced instruction set micro-processors for a wide range of applications.

Set a mission like this:

Make the MIPS architecture pervasive worldwide by the mid-1990s.

Don't set a mission like this:

> To be a producer of automotive products that meet consumer needs and provide an adequate return to shareholders.

Set a mission like Henry Ford's in 1909:

We're going to democratize the automobile.

One of our favorite examples of a good mission statement is Britain's mission in 1940, as articulated by Winston Churchill:

> Our whole people and empire have vowed themselves to the single task of cleansing Europe of the Nazi pestilence and saving the world from the new dark ages. We seek to beat the life and soul out of Hitler and Hitlerism. That alone. That all the time. That to the end.

Now *that* is a mission. Granted, Britain's mission in 1940 is hardly the type of goal that could be taken on by a small company. Nevertheless it conveys the idea that a mission should have an element of passion.

Risk, Commitment, and the Zone of Discomfort

But isn't setting such an audacious mission risky? Yes. A good mission should be difficult to achieve. There should be a chance you'll fail, combined with an off-setting belief that you'll make it anyway. That's part of what makes it a real mission.

What about highly conservative companies that have attained greatness? They don't run themselves like "bet the farm" entrepreneurial ventures, do they? Actually, some of the most conservative companies have set highly risky missions. Let's look briefly at three examples: IBM, Boeing, and Procter & Gamble:

- In the early 1960s, IBM bet the company on a big mission: to remake the computer industry with the IBM 360. It was the largest privately financed commercial project ever undertaken, and required more resources than it took to build the first Atomic Bomb. *Fortune* magazine called it "perhaps the riskiest business judgment of recent times." During the 360 introduction, IBM built up nearly 600 million dollars of work in process inventory and almost needed emergency loans to meet payroll.
- Boeing has pushed itself to the limit with risky missions, such as one set in the 1950s: to create a successful commercial jet aircraft. Boeing invested a substantial portion of its net worth in the project which, had it failed, would have jeopardized the company's solvency. The Boeing 707 was the result. A decade later, Boeing made a similar gamble with the 747.
- Procter & Gamble, known as one of the most conservative of all companies, has a history of committing to risky goals. For example, in the early 1900s, P&G established an internal mission: to reach a point where it could provide steady employment for its workers, rather than the hire and fire swings forced by seasonal demands.

These swings were caused by the demands of wholesalers, who ordered in large quantities and then, like a snake digesting a large meal, would lie dormant. To achieve the mission, P&G took the audacious step of setting up a sales force to sell directly to retailers—a move that at the time was thought by industry observers to be insane. But CEO Richard Deupree had a simple philosophy about bold, audacious moves:

> We like to try the impractical and impossible and prove it to be both practical and possible. You do something you think is right. If it clicks, you give it a ride. If you hit, mortgage the farm and go for broke.

Common to each of these companies was 1) a belief that they could fulfill the mission, and 2) a willingness to go for it. This willingness to put it on the line is part of the vision-setting process. Your task is to pick a mission that falls in a zone of discomfort—where it's not a sure bet, yet you believe deep down the company can do it.

You set a mission not by pure analysis, but by analysis plus intuition. You'll never be able to prove ahead of time that an audacious mission is going to be 100% achievable. You have to know in your gut that it can be done, recognizing this simple truth: once committed to a bold challenge, the probabilities of success change.

When Kennedy first proposed the moon mission, he was advised that there was only a 50/50 chance of success. He believed in America's ability to achieve the mission, to somehow turn the odds. He knew that if the country committed to the mission, it would somehow find a way.

Think of it this way. If someone puts you on a difficult mountain climb and leaves you an easy avenue of retreat, the probabilities of success would be at a certain level, say, for the sake of argument, 50%. Now suppose you are on the same mountain and the avenue of escape is removed; if you don't succeed, you die. The probabilities of success change to closer to 100%. Why? Because you are committed. You'll fight, scratch, invent, or somehow figure out a way to the top because you have no other choice.

Be Sincere

Like your values and purpose, your mission has to be sincere and authentic—something that you want to obtain badly enough that you're willing to make personal sacrifices for its attainment. We've seen cases where leaders of a company outline a great-sounding mission that's not an honest reflection of their real aims for the business. This never works and, in fact, is counterproductive.

In one situation, the CEO kept talking about "Our mission . . ." when all he was really working towards was to sell the company and cash out his stock options. Not only did he lose the dedication of most employees, he lost their respect. As one individual put it: "There was no way we could get excited when he wasn't honest with us. I mean, we're not that stupid."

Four Types of Mission

There are four basic types of mission to choose from:

1. Targeting
2. Common Enemy
3. Role Model
4. Internal Transformation.

MISSION TYPE 1: TARGETING

Targeting is just as the name implies: setting a clear, well-defined target and aiming for it. The NASA moon project is a target mission. Ford's aim "To democratize the automobile" and MIPS's aim to make its architecture "pervasive worldwide by the mid-1990s" are also target missions.

Another approach to targeting is to set the goal of taking the company to an entirely new level of overall prestige, success, dominance, or industry position. Here are some examples:

> *Merck*: "To establish Merck as the preeminent drug-maker worldwide in the 1980s." (Set in 1979.)
>
> *Coors*: "To be number three in the beer industry by the end of the 1980s." (Set in 1980.) "To be number two in the beer industry by the end of the 1990s." (Set in 1990.)
>
> *Schlage Lock*: "To become the dominant lock supplier in the United States by the year 2000." (Set in 1990.)

Have you ever heard of Tokyo Tsushin Kogyo? Probably not. In 1952, it was a tiny, struggling, seven-year-old company, and its founders were wrestling with the question of how to propel itself along the path to greatness. They decided to set a bold, audacious mission:

> To create a product that becomes pervasive worldwide.

The company then implemented the mission by creating and marketing the first radio small enough to fit in a shirt pocket. Today, the company is known as SONY Corporation.

You've probably noticed that none of our target examples are defined with numbers. Can a quantitative target be an effective mission? Yes, *but with caution.*

For example, Home Depot's mission set in the late 1980s was:

> To go national with $10 billion in sales and 350 locations by 1995.

In 1997, Walmart's founder Sam Walton set the mission:

> To become a $1 billion company by 1980.

This was a mission to more than double the company's size, yet Walmart achieved the mission on schedule with sales of $1.2 billion in 1980.

So why did we say, "Yes, but with caution"?

Because we've found that quantitative missions are often less exciting to people throughout the company than, say, democratizing the automobile or becoming the preeminent company in your industry. Just stating, "Our mission is $50 million in revenues in 1995" won't necessarily excite people. If you use a quantitative mission, be sure to tie it to something meaningful to everyone.

Jack Stack makes an extensive use of quantitative target missions at his company, Springfield Remanufacturing Company. He also makes sure to put the numbers in a larger context, as he explained in an *Inc.* magazine interview:

> Our goals are always based on the security of the company, so the larger meaning is to create jobs and keep people working. Each goal is a must, not a want. We're trying to create a company that will last 30, 40, or 50 years.

Remember, the aim here is not just to create a precise target, but to create one that will galvanize people.

MISSION TYPE 2: COMMON ENEMY

Setting out to defeat a common enemy is a particularly powerful, albeit uncreative, form of mission. It appeals to people's competitive instincts. Picking a common enemy to seek out and destroy—especially if you are the underdog—can create extraordinary unity of purpose. Britain's mission in 1940 (to beat the life and soul out of Hitler) is an excellent historical example. The same type of mission can be set in business.

Pepsi's mission at one point was to "Beat Coke!" A senior executive at Pepsi described the impact of having this mission:

> We always believed, since the early seventies, when Pepsi was widely viewed as the perennial also-ran, that we could do it. All of us started out with that objective, and we never took our eyes off it. . . . It put us on a search-and-destroy mission against a Goliath.

In one of our all-time favorite examples, Honda, when faced with Yamaha's having overtaken them as the number one motorcycle manufacturer in the world, responded with:

Yamaha wo tsubusu!

(We will crush, squash, slaughter Yamaha!)

Soon after Honda established this mission, it so demolished Yamaha that later Yamaha publicly apologized to Honda for having claimed that it would dominate Honda.

NIKE has thrived for years on common enemy missions. First, it set out to beat Adidas in the United States. It did. Then, after the unexpected rise of Reebok, they established the mission of crushing Reebok in the competitive "sneaker wars." (During an interview about the "Sneaker Wars," on ABC's *20/20* aired August 19, 1988, NIKE CEO Phil Knight was asked if he knew the president of Reebok. Knight said yes. The interviewer then asked if he liked the president of Reebok. Knight replied, "No. And I don't want to like him." A board member of NIKE once remarked, "Our idea of a perfect day is to get up in the morning and throw rocks at our competitors.")

Common enemy missions are typically set by companies that are striving to be number one, but have not yet achieved it; they play nicely into a David versus Goliath motivation.

An extremely powerful effect of common enemy missions is that they can convert an organization whose back is against the wall—that is concerned about its very survival—to a "we shall prevail" mode. People don't like to "just survive," they like to win. And a common enemy mission taps into this basic human motivation.

Micron Technology provides an excellent illustration. In 1985, Japanese companies' illegal dumping of their product below cost nearly put the little semi-conductor company out of business. CEO Joseph Parkinson used the existence of an outside foe as a unifying force to pull the company through what he calls "the dark days." Parkinson told us in an interview:

> When things were going bad, I was trying to keep everyone motivated to keep us alive. At first, I wasn't scoring a lot of points, but then it occurred to me to key off the fact that people like to win. I mean, who likes to just survive? So with our backs to the wall, we went on the offensive. Yes, it was a tremendous advantage to have a bitter enemy. But it was more than that. We were sworn to *prevail* over that enemy. And this shift from survival mode to a "we shall prevail" mode—beating the odds as the underdog—is something everyone can get behind, from assembly-line workers to VPs.

A word of caution: in spite of its obvious advantages, there are negative aspects of common enemy missions. It's difficult to spend your entire life at war. What do you do when you've defeated the enemy and become number one? What happens when you are no longer David, and have become Goliath? NIKE, for example, went into a slump after it defeated Adidas. It didn't rebound from that slump until Reebok had slipped by them and became a worthy target of NIKE's competitive wrath.

MISSION TYPE 3: ROLE MODEL

Another useful type of mission is corporate role models. Use organizations that you admire as images of what you want your company to become. Role-model missions are excellent for small to mid-sized companies with bright prospects.

For example, in its early years, Trammell Crow had the mission "To be the IBM of the real estate industry." Jim Gentes at Giro Sport talks about becoming to the cycling industry what NIKE is to athletic shoes and Apple is to computers. Norwest Corporation of Minneapolis aims to be "The Walmart of banking."

And speaking of Walmart, it's interesting to note that Sam Walton used J.C. Penney as his role model, including directly copying Penney's seven principles of business management into the early days of Walmart.

MISSION TYPE 4: INTERNAL TRANSFORMATION

Internal transformation missions are rare. They're usually best in organizations that need a dramatic restructuring.

For example, the United States had an internal transformation mission in the late 1800s: to reconstruct the Union after the Civil War. The Soviet Union's attempt in the late 20th century to become a more free-market economy is another societal example of an internal transformation mission. An excellent corporate example comes from Jack Welch at General Electric:

> We are committed to developing the sensitivity, the leanness, the simplicity and the agility of a small company.

For a company the size of GE, this is indeed big, hairy, and audacious.

Since internal transformation missions tend to be most appropriate for large, stagnant organizations, we've encountered very few good examples in small to mid-sized companies.

How Far in the Future?

We've emphasized the importance of having a specific time frame affixed to your mission. How far into the future should a mission stretch? Should it be something that can be fulfilled in six months? A year? Three years? A decade? Fifty years?

There's no definitive answer. Some missions take 30 years or more to fulfill. Others might be fulfilled in a year or less. A good rule of thumb is a 10- to 25-year horizon, perhaps longer if the mission is particularly challenging. Of course, some missions can be fulfilled faster than ten years, and it may be appropriate and effective to have a short time frame.

Whatever time-length mission you set, be sure to recognize when you've fulfilled it and, most important, set a new one. Otherwise, you may fall into one of the most dangerous of traps: the "We've Arrived Syndrome."

JIM'S VIEW FROM 2020

BHAGs, BHAGs Everywhere

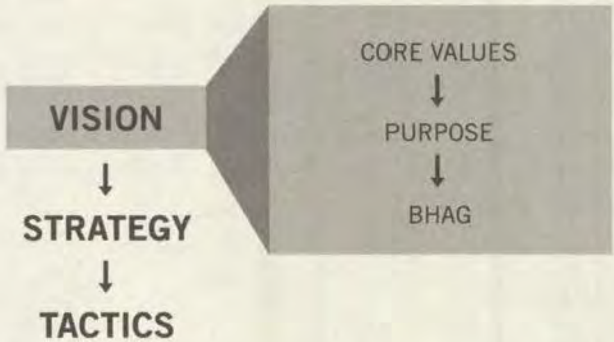
When Jerry Porras and I first conceptualized a framework for developing an organizational vision based on our research, we debated what to call the third part of the framework (after core values and purpose). At first, we decided on the more corporate-sounding term "mission." But then one day when teaching the framework in my Stanford course, the term "BHAG" (pronounced

BEE-hag) popped out of my mouth, followed by the phrase "Big Hairy Audacious Goal."

And the BHAG was born.

JIM'S VIEW FROM 2020

VISION - STRATEGY - TACTICS



VISION

CORE VALUES →	PURPOSE →	BHAG
Enduring principles to live by; a guiding philosophy	The fundamental reason for the organization's existence	Big Hairy Audacious Goal (BHAG is pronounced BEE-hag)
Reflect the personal core values of those who shape the character of the enterprise	Like a guiding star; always pursued, never fully attained	Like a big mountain to climb, a clear finish line to shoot for
Would continue to hold, even when costly to do so; practices and strategies change, but not core values	When pursued with extreme excellence, the company becomes distinctive and irreplaceable in the world	Not a 100% chance of success; requires a leap in capabilities
Timeless	Should guide the company for at least 100 years	Compelling and galvanizing; easy to grasp
		Ideal timeframe: 10 to 25 years

At first, we (Jerry Porras, Bill Lazier, and I) decided we would use BHAG simply as a way to teach what makes for a good mission. We thought it would be easier to get people to engage with a more traditional term than to get leaders to embrace something so big and, well . . . *hairy*.

Within a couple of years, we'd completely inverted our thinking. The more we taught the framework, the more we found people better learned—and grabbed onto—the true spirit of the idea if we went right to its essence. A couple of years after publishing the original edition of *Beyond Entrepreneurship*, I'd fully embraced the big, the hairy, and the audacious. By the time Jerry Porras and I began writing *Built to Last*, we'd pretty much jettisoned the term "mission" and replaced it entirely with "BHAG."

BHAGs started showing up everywhere. Not only did CEOs talk about their BHAGs, but so did government leaders, social-cause entrepreneurs, school principals, sports coaches, military officers, and church leaders.

The *New York Times* even published a feature story about how BHAGs were "sweeping through corner offices around the country." In an interview for that article, the reporter tried to provoke me a bit, relaying that some of the other management thinkers with whom he'd spoken were laying claim to being first to introduce the idea of a BHAG (even if they shunned words like big and hairy and audacious) and that we'd found nothing new.

"What do you say to that?" he challenged.

"I don't think any of us can claim to be the first to have had the idea of a BHAG," I replied. "It certainly goes back long before any of us were alive."

"Well, then, who do you think can claim to be first?" he pushed.

"Hmmm . . . perhaps Moses," I replied.

BHAGs have animated great leaders throughout history, who have used them to stimulate progress and galvanize people. It doesn't really matter whether you call it "mission" or "BHAG" or anything else that works for you. What matters is that you commit to something that meets the tests of a BHAG. Ask yourself the following questions about any BHAG:

- Do you and your people find the BHAG exciting?
- Is the BHAG clear, compelling, and easy to grasp?
- Does the BHAG connect to the purpose of the enterprise?
- Is the BHAG undeniably a goal, not a verbose, hard-to-understand, convoluted, impossible-to-remember mission or vision "statement"?
- Do you have substantially less than a 100 percent chance of achieving the BHAG yet at the same time believe your company can achieve the BHAG if fully committed?
- Would you be able to clearly tell if you've achieved the BHAG?

The best BHAGs make you think big. They force you to engage in both long-term building *and* short-term intensity. The only way to achieve a BHAG is with a relentless sense of urgency, day after day, week after week, month after month, for years. What do you need to do *today*, with monomaniacal focus, and tomorrow and the next day and the day after that to defy the probabilities and ultimately achieve your BHAG? If you're going to put a powerful computer in every pocket, or eradicate malaria, or give every kid a solid K–12 education, or cut crime rates by 80 percent, or render impotent the dark forces of terrorism, or build the most admired company in your industry, or accomplish whatever the goal might be, you cannot possibly achieve the BHAG in mere days or weeks or months. The best corporate BHAGs require 10 to 25 years of relentless intensity to achieve.

For BHAG-driven people, the extended discomfort, the enduring quest, can itself be a form of bliss. When you commit to a BHAG, it lives with you. You wake up in the morning and there, over in the corner—with huge, hairy feet and big, glowing eyes—stands the BHAG. You go to bed at night and there, just as you're about the turn out the light, you once again see the BHAG standing in the corner. "Better get a good night's sleep," the BHAG seems to say, "because tomorrow I own your life again."

Beware the "We've Arrived" Syndrome

It's absolutely essential to recognize when you've fulfilled a mission and therefore need to set a new one.

When a mission has been fulfilled, people will tend to set their own directions and fragment the whole. A classic historical example is that of the World War II allied effort between Russia, England, and the United States. The allies were able to work together remarkably well while they had in common the mission to defeat Hitler. But, alas, once Hitler's fate was assured, the alliance broke apart, plunging the world into the Cold War.

Furthermore, you need new missions to keep the company galvanized towards new challenges. Just as individual people can become lost, adrift, and aimless once they've reached a goal, the same is true of companies. This is what we mean by the "We've Arrived" syndrome.

Jan Carlzon learned this lesson the hard way as CEO of Scandinavian Airlines, after the company reached its first mission. In an interview with *Inc.* magazine, he said:

We had a dream, and we reached it, and we reached it very quickly. But we didn't have another long term objective. So people started to produce their own new objectives. You see, it had all been a little too easy. And we created frustration, because this is a psychological game. Do you know the song Peggy Lee sings, 'Is That All There Is?'

I learned that before you reach an objective you must be ready with a new one, and you must start to communicate it to the organization.

It's not the goal itself that's important. It's the fight to get there.

THE "WE'VE ARRIVED" SYNDROME

THE COMPANY HAS A COMPELLING MISSION (SOMETIMES IT IS SO COMPELLING AND SO OBVIOUS THAT IT ISN'T EVEN EXPLICITLY ARTICULATED)

COHESION, TEAMWORK, PERFORMANCE, ENTHUSIASM

FULFILL MISSION, BUT A NEW ONE IS NOT SET ("WE'VE ARRIVED")

NO BOLD NEW CHALLENGE

MALAISE, COMPLACENCY, FACTIONS FEELING THAT "SOMETHING IS MISSING"

Figure 4-3

The We've Arrived Syndrome is particularly common in early stage or turnaround companies that are galvanized by the challenge of reaching a point where survival is no longer in question. Because survival in such situations is itself such an overriding goal, the mission to survive often isn't even made explicit—everyone *knows* this is the mission without anyone saying it.

Therein lies the problem. Because it isn't explicit, there isn't the explicit recognition of its fulfillment. No new mission is created to replace the old one. Complacency sets in and factions become prevalent.

CASE EXAMPLE: STRATEGIC SOFTWARE, INC.

Founded in 1976 with no outside venture financing, Strategic Software's founders were dedicated to building a company that would provide excellent software products, financial stability for employees and owners, and a stimulating work environment. For the first seven years, employees and managers worked twelve-hour days in tiny cubicles. "It was us against the world," explained one of the founders. "We were a great team."

Gradually, year by year, the company attained financial success (reaching $25 million in annual revenue with healthy profit margins) and a stable customer base. In 1983, it moved into a prestigious office complex with modern sculptures, perfectly manicured green lawns, water ponds, thick carpets, handcrafted cherry-wood furniture, and its own parking lot.

Then the whole place fell apart. One founder described:

> What was once a great esprit de corps degenerated into intense factions and we lost all sense of team spirit. People began working 9 to 5 and, worse, they acquired a 9 to 5 attitude! We looked around and found that success had brought malaise. We just didn't have that same fighting spirit. From there it was all downhill.

What happened, of course, is that the organization had fulfilled its first big mission (to reach a point where survival was no longer in question). It seemed like there was nothing more to work for. It had arrived. Its leaders should have created a new mission, but they didn't. And the organization stagnated, eventually putting itself up for sale.

The Potential Impact of New Facilities

In the above case example, we made a specific point about the new building. Facilities may not seem like a very important topic; but they are.

We've seen a number of companies, such as the one above, encounter difficulty soon after moving into beautiful new buildings and offices. It's not that the new offices are in themselves bad. But they send a signal: "We've arrived. We're successful. We've made it."

Greg Hadley, an experienced turnaround artist, described the impact of a new building on the psychology of a company that he took over:

> It was like the Taj Mahal. People looked around, and said, "Hey, look at this. We *must* be good. We must already be successful." And then they started paying more attention to their golf game than the business.

Gavilan Computer Company, which burned through tens of millions of dollars of capital in going from start-up to bankrupt, had exquisite corporate offices. As one employee told us, "I felt like I was already working in the FORTUNE 500. It diluted any real sense of urgency. And, you know, it wasn't anywhere near as much fun as some other start-ups I've been with."

Do we mean to imply that you shouldn't have nice places to work? No, of course not; but you should be aware that a beautiful new edifice *symbolizes* having crossed a threshold, having "made it," having completed a mission.

The point of all this is that your company will cross many finish lines in its life, and there will be symbols of these finish lines (a public offering, new buildings, industry awards, or whatever). Your job is to make sure that these symbols lead to continual work towards a compelling mission.

When you reach the top of a mountain peak, begin looking for the next one. Set a new mission. If you just sit there, you'll get cold and die.

Putting It All Together

We've now covered the three basic elements of good vision: core values and beliefs, purpose, and mission. To further illustrate vision, we've included two examples of how these components of vision fit together: Giro Sport Design (a small company) and Merck (a large company).

EXAMPLE OF VISION: GIRO SPORT DESIGN

Core Values and Beliefs

Giro's fundamental, inviolable Values and Beliefs are these:

GREAT PRODUCTS. Every product we introduce must be a unique contribution to the market, not one that is introduced just for the purpose of making money. It must therefore be *innovative*, *high quality*, and the *unquestioned best* in its category.

GREAT CUSTOMER SERVICE. Our service standards are as stiff as our product standards. We should treat our customers as we would our best friends.

GOLDEN RULE. We should treat those with whom we have dealings as we ourselves would like to be treated.

TEAMWORK. No individual should be indispensable. Think we; not I.

BEST EFFORT. Each person should do her very best in each task undertaken. Strive for an A, not a B+.

DETAILS. The little things matter; God is in the details.

INTEGRITY. We are honest. We honor our commitments. We are consistent and fair.

Purpose

Giro exists to make people's lives better through innovative, high-quality products.

Mission (Set in 1990)

Giro's mission is to be a great company. We aim to be the most respected and admired company in the worldwide bicycling industry by the year 2000.

EXAMPLE OF VISION: MERCK

Core Values and Beliefs

We value above all our ability to serve the patient.

We are committed to the highest standards of ethics and integrity.

We are responsible to our customers, to our employees, and to the societies we serve.

Our interactions with all segments of society—customers, suppliers, governments, the general public—must reflect the high standards we profess.

We are committed to research that matches science to the needs of humanity.

Since our future as a company rests squarely on the knowledge, imagination, skills, teamwork, and integrity of our employees, we value these qualities most highly.

We expect profit, but profit from work that benefits humanity.

Purpose

We are in the business of preserving and improving human life. All of our actions must be measured by our success in achieving this.

Mission (Set in 1979)
To establish Merck as the preeminent drug-maker worldwide in the 1980s.

Write It Down

It's good practice to codify your vision on paper. Writing it down forces you to think rigorously about what exactly you are trying to do. Even more important, it's a critical step in making it the *organization's* vision, rather than the vision of a single leader.

As Steve Bostic of American Photo Group put it in an interview with *Inc.* magazine:

> You have to get [your vision] on paper. That's key. If people never see the vision—or if it's here today, gone tomorrow—there's no way they can get into it. There are severe limits to what companies that are one man shows can achieve.

Bostic is not alone in this view. R. W. Johnson codified the J&J credo for future generations of J&J leaders. Tom Watson wrote *A Business and Its Beliefs* to codify the basic principles of IBM. Marvin Brower wrote about the McKinsey Vision in a book, *Perspective on McKinsey*. Bill Hannemann at Giro keeps a written version of Giro's vision near him at all times. We even know of one company (Stew Leonard's Dairy) that literally chiseled its enduring principles into stone.

What about flexibility? Don't you want to maintain flexibility to change with times? Does all this "enduring principles" and "100 year purpose" philosophy really make sense? Isn't chiseling your principles in stone a bit limiting?

Change is good, we agree. The question is: what should change, and what should be held tight? The answer lies partially in the hierarchy from values to tactics:

Core Values and Beliefs:	Change seldom, if ever.
Purpose:	Should last for 100 years.
Mission:	Changes whenever one mission is completed and a new one needs to be set (usually every ten to twenty-five years).
Strategy:	Revised annually, then totally recast with each new mission.
Tactics:	In constant flux, to adjust to changing conditions.

A Vivid, Compelling Description: Paint a Picture with Your Words

It's essential to be able to communicate the vision in vibrant, engaging, and specific words—in words that provoke emotion and generate excitement. Think of it as translating the vision from words into pictures, of creating an image that people can carry around in their heads. We call this "painting a picture with your words."

When you have a mission like, "To be a great company by the year 2000," you need to vividly describe what that means, and then say, "Our mission is to make that picture happen."

Use specific, vivid images. Observe how Jim Gentes describes Giro's aim to become a great company:

> The best riders in the world will be using our products in world-class competition. Winners of the Tour de France, the World Championships, and the Olympic Gold Medal will win while wearing Giro helmets. We will receive unsolicited phone calls and letters from customers who say, "Thank you for being in business; one of your helmets saved my life." Our employees will feel that this is the best place they've ever worked. When you ask people to name the top company in the cycling business, the vast majority will say Giro.

Here's how Henry Ford painted a picture with his words to communicate the mission, "To democratize the automobile":

> I will build a motor car for the great multitude. It will be so low in price that no man making a good salary will be unable to own one—and enjoy with his family the blessing of hours of pleasure in God's great open spaces. The horse will have disappeared from our highways, the automobile will be taken for granted.

Note the specifics: "enjoy with his family the blessing of hours of pleasure in God's great open spaces" and "the horse will have disappeared from our highways." This is what we mean by "painting a picture with your words."

One of our favorite examples of the power of painting pictures with words comes from Churchill, one of the best vision communicators the world has ever known:

Hitler knows that he will have to break us on this island or lose the war.

If we can stand up to him all Europe may be free and the life of the world may move forward into broad, sunlit uplands.

But if we fail, then the whole world, including the United States, including all we have known and cared for,

Will sink into the abyss of a new Dark Age made more sinister, and perhaps more protracted, by the lights of perverted science.

Let us therefore brace ourselves to our duties, and so bear ourselves that if the British Empire and its Commonwealth last for a thousand years

Men will still say:
"*This* was their finest hour."

"But that's Churchill," you say. "I'm not Churchill. I could never communicate like Churchill. And besides, it would be easy to communicate like Churchill if we had a foe like Hitler. But we don't, and never will."

True. Few of us can communicate like Churchill. But we can *learn* from Churchill, and Ford, and others. Churchill wasn't born eloquent. The words did not flow; he worked at it. He labored for hours over his speeches and writings, shaping each phrase with the care Michelangelo might have lavished on the David or Pieta. He paid attention to the details, the specific, vivid images that would stick in people's minds, like "broad sunlit uplands" and "abyss of a new Dark Age."

Although few of us can hope to be as eloquent as Churchill, we can nonetheless use him as a role model for communicating our visions.

JIM'S VIEW FROM 2020

Putting It All Together— DPR Construction and Its "Constitutional Convention" for Greatness

The first thing I noticed was the rough hands and crushing grip of each handshake, accentuated by bronzed skin tightened over some rather intimidating forearm musculature. I was sitting down to lunch with some of the founders of DPR Construction, about a year after the company's founding. These were builders, construction people, gruff and curmudgeonly.

Just a few weeks before, two DPR team members had attended a lecture series at Stanford, at which faculty shared their current research and I'd had the privilege to present a pre-publication version of the vision framework that appeared in the original edition of *Beyond Entrepreneurship*. DPR's Peter Salvati called after the session, asking, "Would you meet with us? We'd like to talk with you about your work on building great companies."

When Doug Woods, Peter Nosler, and Ron Davidowski founded DPR, they wanted to defy the traditional construction industry. Enraged by what they saw as hierarchical, shortsighted practices followed by some companies, they declared independence from their former employer. About a year in, the company had fewer than twenty people and just a handful of projects.

"Well, the first thing you need to do is articulate your core values," I said, settling into the lunch conversation.

Silence.

So, I continued, "Then you need to articulate a purpose for being that can guide you like a star on the horizon for decades or centuries."

A cacophony of silence.

Taking a deep breath, then, "And you need a big, hairy goal, a mountain to climb that's almost terrifying in its audacity."

Finally, Woods spoke up, "VALUES?"

He paused.

"PURPOSE?"

He paused again.

"What does all that have to do with the practical realities of building a company?" His message was clear: We're hands-on people, not philosophers. We build stuff. We deal in reality, not academic theory. What the heck are you talking about?

I figured I had nothing to lose by countering, "Think of what you are trying to do as like the founding of the United States, and you—the founding team—are like Jefferson, Franklin, Adams, Washington, and Madison. What would the United States be without the Declaration of Independence and the Constitution? The founders didn't just want to win the war for independence. They wanted to build an enduring great nation that would aspire to embody a set of ideals. And remember, it was those very ideals that Lincoln returned to in the Gettysburg Address and that King later invoked in his 'I Have a Dream' speech."

Woods softened. Yes, Woods wanted to *win*, but not just financially. He and his colleagues wanted to prove in practical fact what a construction company could be, to demonstrate that they could build a more enlightened company *and* win in the market.

And so, the founding team decided to hold a "Constitutional Convention" of sorts, bringing together about twenty DPR people at Thomas Fogarty Winery, high on Skyline Boulevard, looking out on Silicon Valley and the San Francisco Bay. Using the vision framework in the vision chapter of the original edition of *Beyond Entrepreneurship*, they worked for days, not with strategy but with the bigger questions: Why do we exist? What do we want to stand for? What do we want to achieve?"

The critical turning point came in the discussion of DPR's purpose. Somehow, sentiments like "change the world" or "improve people's lives by what we do" just didn't fit or feel appropriate. Finally, one of the founders said simply, "Look, we're builders. That's not just what we do; it's who we *are*. We need to capture that idea in our purpose."

"So, our purpose is to build stuff?" someone asked. "Is that it?"

"Well . . . yeah. To build stuff is pretty accurate."

"But somehow, that's not enough. I'm not sure that makes us anything special."

Back and forth, the dialogue continued.

Then, finally, the phrase "build great things" popped out.

"That's it! We exist not just to build, but *to build great things*—great buildings, a great culture, great client relationships, a great collaborative team, and it all adds up to building a great company." And so, they discovered their purpose: *We exist to build great things.*

The DPR founding team came away from its "Constitutional Convention" with a clearly crafted vision based directly upon the framework in the vision chapter from *Beyond Entrepreneurship*. In addition to the purpose, they articulated four enduring core values (see the following page) and set an audacious goal—to become a truly great construction company by the year 2000—brought to life with a vivid description composed of a dozen tangible images. These were: We will have consistently achieved the lowest possible safety modifier for a general contractor of our size. We have built a major project that has been recognized in an industry magazine. Following a pilot plant project, we are invited back to build a major manufacturing facility without competition. Our friends back East will mention that they have heard about DPR's greatness. Our families will say we work for a great company. We are short-listed on every project in which we express an interest. For five consecutive years, we never missed an opportunity to be asked back by one of our past clients. We are used by a reputable authority on business as an example of a great company. We receive letters from customers and subcontractors praising DPR and their efforts. We will have minorities and women in senior-level estimator and project manager positions. A national magazine will have written a positive article about DPR and our success. We will routinely receive unsolicited referrals for major projects.

Co-founder Doug Woods later described how big the aspirations felt to the small young company: "To say we wanted to become a truly great construction company by the year 2000 was like a three-year-old saying that I want to graduate from college by the time I'm 10."

DPR did indeed become a truly great construction company, reaching $1 billion in revenues in 1998, and it just kept on building momentum. In 2015, DPR celebrated its twenty-fifth anniversary, with $3 billion in revenue, twenty offices across the country, and three thousand employees. It converted some of the most discerning and creative corporations on the planet into clients, from Pixar to Genentech, from UC Berkeley to the MD Anderson Cancer Center. Along the way, it set its audacious goals even higher, setting a new mission: to be one of the most admired companies—of any type, across all industries—by 2030.

At the twenty-fifth-anniversary gathering, I met the next generation of passionate curmudgeons, younger leaders buying out the founding-era shares in a planned succession, becoming entrepreneurial owners. They showed the same passion for building great things. Their entire attitude conveyed an ethos of being on the balls of their feet, moving forward. Two years later, DPR clicked past $4.5 billion in revenues, and just kept climbing.

As I finalize these words in 2020, DPR is about to celebrate three decades of achievement since its founding. Thirty years of success is a very nice start, but only a start. The drive to build great things never ends.

DPR CONSTRUCTION COMPLETE VISION EXAMPLE

Core Values

Integrity. We conduct all business with the highest standards of honesty and fairness; we can be trusted.

Enjoyment. We believe work should be fun and intrinsically satisfying; if we are not enjoying ourselves, we are doing something wrong.

Uniqueness. We must be different from and more progressive than all other construction companies; we stand for something.

Ever forward. We believe in continual self-initiated change, improvement, learning, and the advancement of standards for their own sake.

Purpose

We exist to build great things.

First Mission (Big Hairy Audacious Goal)

To become a truly great construction company by the year 2000.

Next Mission (Big Hairy Audacious Goal)

DPR achieved its first audacious mission and established a new mission: to become one of the most admired companies—of any type, across all industries—by 2030.

Clear and Shared

To be effective, a vision must fulfill two key criteria: it must be *clear* (well understood) and *shared* by all the key people in the organization.

This raises a vexing question: should the vision be dictated from the top (from, say, the founder or CEO) or should it be derived from a group process?

The disadvantage of a vision that is dictated from above is that, although usually clear, it may not be widely shared. On the other hand, a vision developed by group process can easily turn out to be an uninspirational "camel"—a "vision by committee" that lacks clarity and spark.

Each company, with the context of its own norms and style, must come to its own conclusion. There is no universally right answer to this dilemma.

We've seen situations where a clear and shared vision is set entirely by group process. To those who are skeptical as to whether a group process can work, we point you again to the founding of the United States of America. Although there certainly were strong leaders present (Washington, Jefferson, Madison, and Adams), the vision of the country was set entirely by a *group* process. In fact, George Washington hardly said a word during the entire Constitutional Convention.

On the other hand, we've seen situations where the vision comes from a single individual. Sam Walton at Walmart and Henry Ford are examples.

So which is better, group process or individual drive? Neither. It depends on the situation and your personal style. The only thing that matters is that you catalyze a clear and shared vision for the company and secure a commitment to vigorous pursuit of that vision. If you do this, you'll be functioning as a leader.

Not Only for Charismatic Visionaries

We'd like to dispel the myth that setting a vision requires that you be somehow blessed with almost mystical or super-human charismatic visionary qualities. To believe this myth, every organization would need a CEO who is a cross between Churchill, Kennedy, and Martin Luther King Jr. Indeed, many managers respond to the notion of vision by thinking, "It's not for me. I don't fit the stereotypical mold of a visionary."

But it is for you, no matter what your style or personal magnetism. Charisma's role in setting vision is vastly overrated. Some of the folks that have instilled extraordinary vision in their companies don't bowl you over with charisma. Phil Knight of NIKE, Kristine McDivitt of Patagonia, Bill Hannemann of Giro, Bob Miller of MIPS, Bill Hewlett of HP, Frank Wells of Disney—even Abraham Lincoln and Harry Truman—don't fit the stereotype of charismatic visionary. You don't have to be a member of some elusive group of people who call themselves visionary. You can just be yourself. As Ted Turner said:

> People don't call themselves visionaries. People get called visionary. All I am is Ted Turner.

The task before you is not to be a single charismatic individual with vision. The task is to build an organization with vision. Individuals die; great companies can live for centuries.